NOMURA

JPY Monthly Flow Monitor

Global Markets Research
8 August 2024

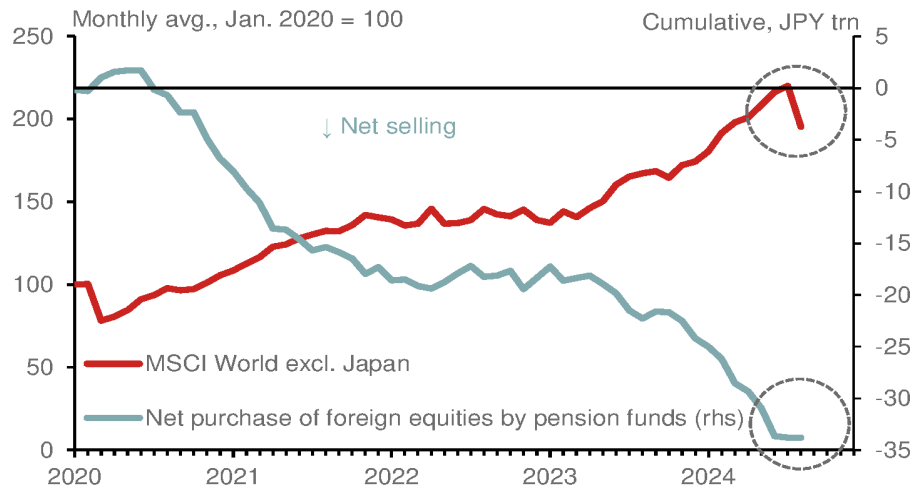
Foreign Exchange - Global

Pension funds' rebalancing flows may reverse due to global market turmoil

July's foreign securities flows and June's BOP.

- *In July 2024,* ***Japanese investors net sold JPY762bn ($4.8bn) of foreign securities.*** *The main contribution was from banks' net selling of foreign bonds, while investment trusts' net purchasing foreign equities partly offset it.*
- ***Banks*** *net sold JPY2.2trn ($13.9bn) of foreign bonds in July. They might have taken profits by selling foreign bonds with the global bond rally.*
- ***Trust accounts (pension funds)*** *net sold foreign equities for 10 consecutive months. However, the size of net sales significantly declined from previous months, as global stock prices declined and the yen has appreciated since late July. We believe their rebalancing flows may reverse if the current global risk-off continues.*
- ***Investment trusts*** *have net purchased the largest amount of foreign equities YTD. Japanese households seem to have increased their purchases of foreign equity investment trusts after they received summer bonuses.*
- ***Lifers*** *net sold JPY124bn ($0.8bn) of foreign bonds. There have been no clear signs of acceleration in their repatriation of funds from foreign bonds to domestic bonds so far.*
- *On other investor flows in June,* ***foreign investors*** *net purchased the largest amount of Japanese bonds since January 2024.*
- *Japan's* ***balance of payments data for June*** *showed that the current account surplus was JPY1.8trn ($11.2bn), declining from May, mainly due to likely temporary factors in the services balance and primary income balance. We maintain our view that the current account surplus will likely remain large; however, the recent market turmoil may worsen Japan's trade balance, which we need to closely monitor.*

Fig. 1: Pension funds' rebalancing flows may reverse amid global market turmoil



Note: MSCI World excl. Japan is JPY-denominated. The data for August 2024 are the average during 1-7 August.
Source: Macrobond, Nomura

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Japanese investors net sold JPY762bn of foreign securities in July

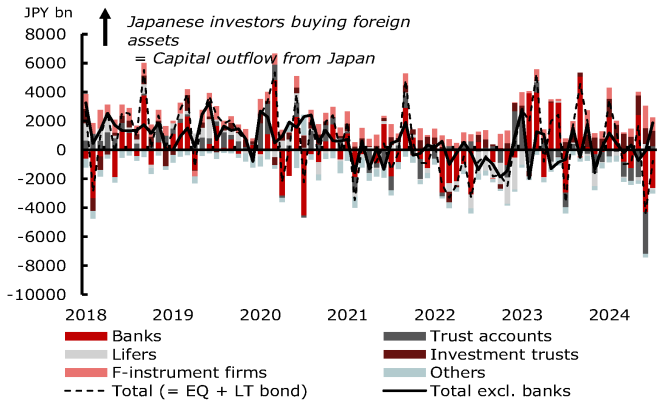
In July 2024, Japanese investors net sold JPY762bn ($4.8bn) of foreign securities (equities + long-term bonds; *Fig. 2*). The main contribution was from banks' net selling of foreign bonds, while investment trusts' net purchasing foreign equities partly offset it (*Fig. 3*).

Banks net sold JPY2.2trn of foreign bonds

Japanese banks net sold JPY2.2trn ($13.9bn) of foreign bonds in July. In July, the weaker-than-expected US CPI data for June and the Fed's dovish communication at its July FOMC pushed down global bonds yields, and they appear to have provided good opportunities for Japanese investors to take profits.

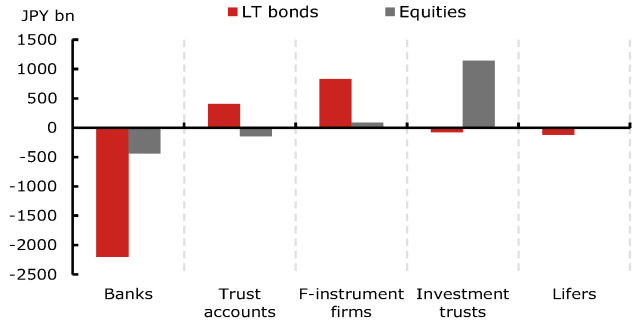
Just from this observation, some may argue that Japanese investors have started their repatriation. However, we believe it's premature to judge for the following reasons: 1) the BOJ's rate hike and an announcement of the detailed QT plan was on 31 July, so the net sales of foreign bonds in expectation of the BOJ's policy normalization was likely small; and 2) the weekly data for 28-July to 3 August showed Japanese investors were net buyers of foreign bonds, so it looks they've turned net buyers recently.

Fig. 2: Japan's net purchases of foreign securities by investor type



Source: Nomura, MOF

Fig. 3: Foreign portfolio investment by investor type



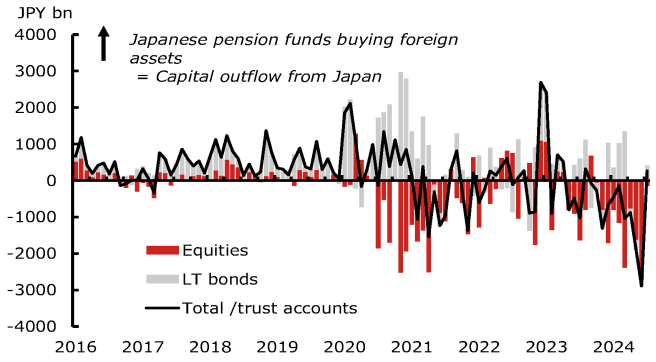
Note: Flow data for July 2024.
Source: Nomura, MOF

Pension funds' net selling of foreign securities significantly declined in July

Trust accounts (pension funds) net sold JPY145bn ($0.9bn) of foreign equities in July (*Fig. 4*). Although they net sold foreign equities for 10 consecutive months, the amount shrank significantly from previous months. They seem to have continued rebalancing their portfolio allocations in accordance with market conditions. The sharp decline in global stock prices and USD/JPY in late July is likely to have encouraged pension funds to buy back foreign equities after selling foreign equities in early July. As pension funds net purchased JPY407bn of foreign bonds ($2.6bn) with the yen appreciating, they net purchased foreign securities (equities + long-term bonds) for the first time since August 2023.

While pension funds have been net selling foreign equities for rebalancing amid rising global stock prices and the yen's depreciation, the trend may reverse in August. If this global risk-off continues, pension funds may need to consequently net purchase a larger amount of foreign securities than domestic securities in August, which in theory should limit the yen's appreciation in FX markets. However, for this flow to materialize, the pension funds likely need to sell domestic bonds, which will be a difficult decision, considering the volatile moves in super long-term JGBs.

Fig. 4: Trust accounts' foreign portfolio flows



Source: Nomura, MOF

Fig. 5: GPIF's portfolio (Nomura's estimate) and current policy portfolio

		Domestic bonds	Foreign bonds	Domestic stocks	Foreign stocks
Actual	end Sep 2023	26.6	24.2	24.5	24.7
	end Dec 2023	25.8	24.4	24.7	25.1
	end Mar 2024	26.9	23.9	24.3	24.9
	end Jun 2024	25.8	24.4	24.4	25.3
(a) Assuming 50% of trust account's net purchase was by GPIF					
Estimate	**latest (a)**	*28.0*	***25.0***	*23.0*	***24.0***
(b) Assuming 75% of trust account's net purchase was by GPIF					
Estimate	**latest (b)**	*28.0*	***25.0***	*23.0*	***24.0***
(c) Assuming 100% of trust account's net purchase was by GPIF					
Estimate	**latest (c)**	*28.0*	***25.1***	*23.0*	***24.0***
Policy portfolio					
Current	**Target**	**25**	**25**	**25**	**25**
	Deviation limits	**+/-7%**	**+/-6%**	**+/-8%**	**+/-7%**
		+/-11%		**+/-11%**	
Previous	*Target*	*35*	*15*	*25*	*25*
	Deviation limits	*+/-10%*	*+/-4%*	*+/-9%*	*+/-8%*

Note: Calculation based on the GPIF's portfolio weight as of end-June 2024, Japanese pension funds' total securities investment in Q3, and changes in the benchmark indices from June to current.
Source: Nomura, GPIF, MOF, JSDA, JPX, Bloomberg

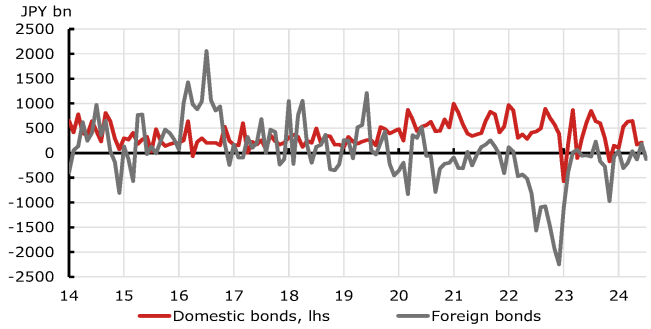
Japanese lifers' transactions were almost muted in July

Life insurance companies net sold JPY124bn ($0.8bn) of foreign bonds and net sold JPY15bn ($0.1bn) of foreign equities (*Fig. 6*). Their transactions during recent months seem to be almost muted and lacking a clear direction. Although the BOJ released its detailed plan of QT and decided to hike its policy rate to 0.25% at its July meeting, the following global market turmoil pushed down long-term JGB yields sharply, which is likely to discourage lifers from starting their structural portfolio reallocations from foreign bonds to domestic bonds, at least in the short term.

The focus in the near future is whether lifers will sell their unhedged foreign bonds or raise their FX hedging ratio with USD/JPY declining. In our view, even if some lifers sell their unhedged foreign bonds, such flows are unlikely to become of sizeable scale as a whole. This is because the current level of USD/JPY remains well above 141.90, the average level of USD/JPY at end-FY2024 expected by major lifers in *their investment plans as of April*. The recent volatile moves in USD/JPY might also make it difficult for lifers to become confident that USD/JPY will decline sustainably at present. Moreover, as currency-hedging costs remain high, lifers are unlikely to raise their FX hedging ratio at this juncture (*Fig. 7*).

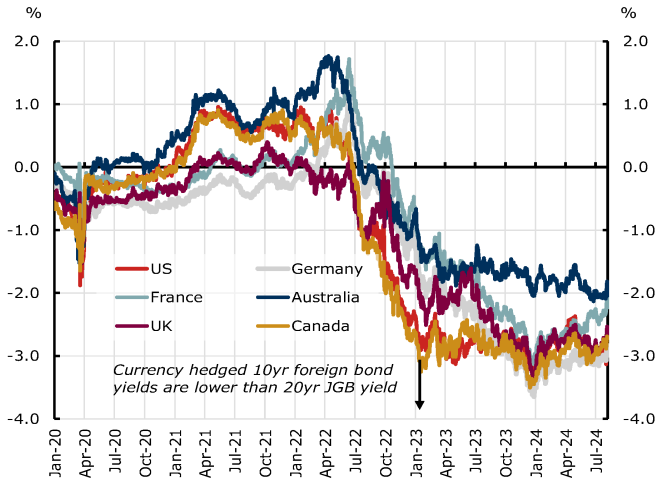
Having said that, in our risk scenario, if lifers become more confident that USD/JPY will breach 140 sustainably, lifers could start to sell their unhedged bonds in earnest to limit their FX valuation losses, which could accelerate the yen's appreciation. So, we should continue closely monitoring the development of FX rates and lifers' reactions to it.

Fig. 6: Japanese insurance companies' bond investment flow



Source: Nomura, MOF, JSDA

Fig. 7: Less attractive to invest in currency foreign bonds compared with super long-term JGBs



Source: Nomura, Bloomberg

Toshins net purchased the largest amount of foreign equities since January

Investment trusts (Toshins) net bought JPY1.1trn ($7.2bn) of foreign equities in July, the largest amount since January (*Fig. 8*). As Japanese households have tended to receive summer bonuses in June and July, they seem to have increased their purchases of foreign equities via mutual funds mainly in their NISA accounts.

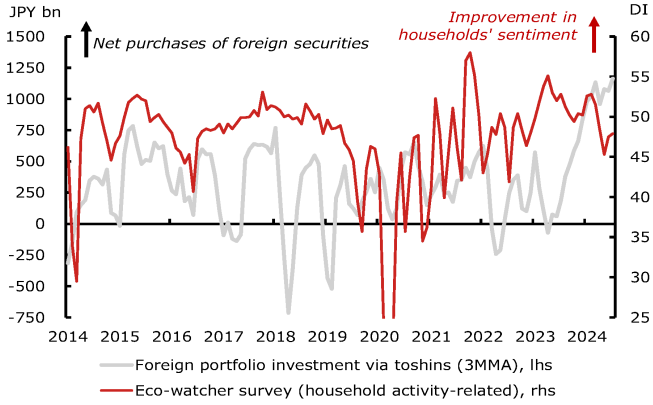
However, our high-frequency data indicate that *daily net inflows into foreign equity investment trusts have been slowing since late July* and recorded daily outflows in early August. As Japanese households' net purchases of foreign equity investment trusts have tended to be closely correlated with global stock prices, the recent tumble in global stock prices seems to be discouraging them from buying foreign equities. We believe this softening momentum is contributing to an easing in JPY selling pressure, aligned with the market's large reduction in yen carry trade positions.

Non-residents net sold more than JPY1trn of Japanese bonds

Overseas investors net purchased JPY1.2trn ($7.5bn) of Japanese bonds in July, the largest amount since January (*Fig. 9*). As several major media outlets such as Bloomberg, Reuters and Nikkei reported that the BOJ's QT plan was unlikely to deviate from market consensus ahead of the July meeting, foreign investors might have judged that the upside potential in long-term JGB yields after the release of the BOJ's QT plan would be limited. However, the MOF's latest weekly data indicate that foreign investors net sold JPY1.2trn ($7.9bn) of Japanese bonds after the BOJ surprisingly raised its policy rate and showed its hawkish stance at the July meeting (on 31 July).

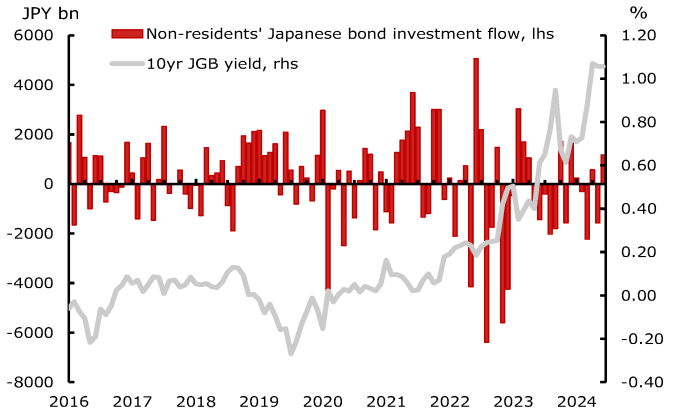
Foreign investors net sold JPY317bn ($2.0bn) of Japanese equities in July. The MOF's weekly data suggest they seem to have net sold Japanese equities amid global risk-off in late July.

Fig. 8: Toshins' foreign securities investment flows and Japanese household sentiment



Source: Nomura, MOF, Cabinet Office

Fig. 9: Non-residents' Japanese bond investment flows and the 10yr JGB yield



Source: Nomura, MOF, Bloomberg

Japanese investors net sold US and German bonds in June

Balance of payments data for June (which lag the MOF's international transaction securities data by one month) showed Japanese investors net sold JPY2.2trn ($13.2bn) of US bonds and JPY1.2trn ($7.7bn) of German bonds (*Fig. 10*).

The stronger-than-expected US job report for May exerted upward pressure on global bond yields, which might have encouraged Japanese investors, mainly banks, to sell their foreign bonds. By contrast, during the period of rising uncertainty over the French political situation ahead of the French general election (30 June and 7 July) net selling of French bonds was relatively limited in June.

Fig. 10: Foreign LT bond investment, country breakdown

		Jul-23	Aug-23	Sep-23	Oct-23	Nov-23	Dec-23	Jan-24	Feb-24	Mar-24	Apr-24	May-24	Jun-24
Total		**-1,796**	**2,003**	**3,179**	**1,156**	**-1,170**	**1,086**	**2,529**	**1,043**	**407**	**-1,068**	**3,087**	**-3,774**
Asia		**-87**	**20**	**62**	**0**	**42**	**81**	**60**	**147**	**139**	**70**	**81**	**-62**
North America		**-186**	**1,155**	**3,822**	**1,507**	**-112**	**868**	**3,168**	**1,095**	**1,411**	**346**	**3,581**	**-2,087**
	US	-30	1,176	3,808	1,525	-116	895	3,361	1,050	1,375	263	3,542	-2,182
	Canada	-156	-21	14	-17	5	-27	-192	45	36	83	39	95
Central & South America		**115**	**184**	**162**	**-132**	**326**	**-19**	**-241**	**-48**	**-453**	**-1,020**	**-218**	**36**
	Mexico	1	2	-74	-34	9	-46	1	16	0	21	32	30
	Brazil	-1	-1	-4	-2	0	-3	-17	2	0	-2	-1	-2
	Cayman Island	39	122	272	-85	222	72	-231	-41	-415	-1,012	-260	8
Oceania		**-160**	**284**	**-22**	**95**	**-173**	**3**	**-386**	**4**	**-198**	**-233**	**-197**	**270**
	Australia	-174	271	-17	84	-180	3	-368	-24	-208	-216	-173	286
	New Zealand	14	13	-4	12	7	0	-18	29	10	-17	-24	-16
Europe		**-1,226**	**449**	**-698**	**-16**	**-800**	**298**	**74**	**14**	**-134**	**-44**	**-19**	**-1,852**
	Germany	-83	144	-198	632	-13	165	329	-80	12	29	32	-1,222
	UK	1	-56	-395	65	-40	137	5	69	-45	-73	-97	32
	France	-578	246	212	-484	-91	39	-52	-123	-96	315	-162	-99
	Netherlands	-197	-1	-19	-90	-180	-141	-183	-26	-89	-85	-92	-512
	Italy	45	-106	-216	256	-227	8	-23	-41	-106	-8	17	-21
	Belgium	-123	65	-115	-135	-141	-4	27	-58	46	-10	35	-236
	Luxembourg	84	45	51	31	-8	80	66	54	14	1	-18	-40
	Switzerland	-10	-18	0	-10	-121	-5	-1	-15	-6	-7	-28	0
	Sweden	-75	-8	34	0	-51	-10	-29	-16	-19	-9	-20	-19
	Spain	-229	-32	22	-98	-68	6	0	14	123	-156	37	2
	Ireland	-48	21	-67	23	24	-6	-73	19	-49	-88	148	150
	Austria	4	4	-8	-61	-22	-3	31	-21	31	-34	-15	9
	Norway	-13	6	11	2	-7	-17	-19	-24	-38	-24	-13	-9
	Finland	4	1	14	14	-29	11	-1	6	-12	-19	41	16
	Denmark	-10	-24	-61	-28	-57	-12	2	-22	-31	-29	-25	-1
	Portugal	-36	2	7	-20	31	0	-41	28	-9	7	-1	-7
	Greece	5	7	-6	-1	-2	-4	16	1	-6	-2	1	1
	Russia	-0	-1	-1	-0	-1	-0	-0	0	0	-0	-0	0
Euro area		-1,152	394	-323	66	-724	152	98	-225	-141	-51	24	-1,960
Middle East		**-108**	**5**	**23**	**-75**	**26**	**-8**	**-9**	**-11**	**-33**	**-63**	**-8**	**-9**
Africa		**3**	**-24**	**-0**	**-3**	**3**	**2**	**-3**	**3**	**-2**	**4**	**-0**	**-3**
Unallocated		**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**-14**	**-13**	**-12**
International Organizations		**-146**	**-70**	**-170**	**-222**	**-482**	**-141**	**-134**	**-162**	**-323**	**-115**	**-119**	**-54**

Note: Unit is JPY bn
Source: Nomura, MOF, BOJ

The current account surplus for June shrank from May

Japan's current account surplus (seasonally adjusted) for June was JPY1.8trn ($11.2bn), declining from May (*Fig. 11*). Although the trade balance improved due to a rise in exports, an increase in payments for foreign public services (services balance) and an increase in dividends to foreign countries (primary income balance) exceeded it. We believe the deterioration in the services balance and primary income balance are temporary.

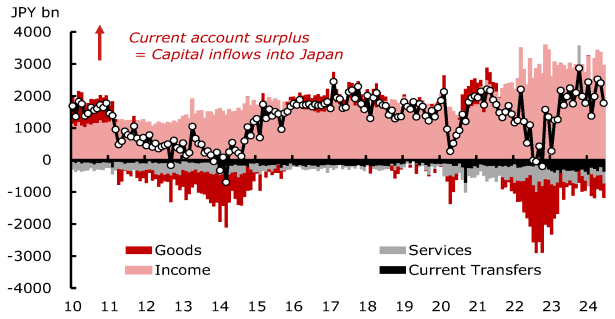
We maintain our view that the current account surplus will likely remain large;

however, the recent market turmoil may weaken Japan's trade balance, which we need to closely monitor.

Net FDI outflows decreased in June from May

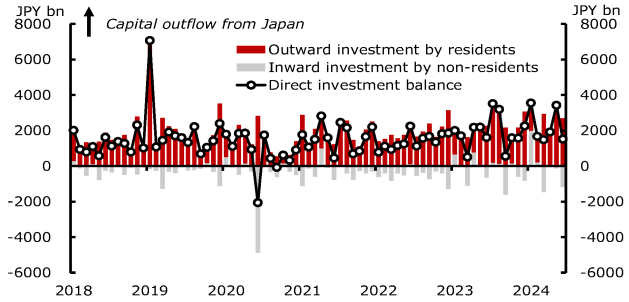
In June, net FDI outflows declined to JPY1.5trn ($9.6bn) from JPY3.4trn ($21.9bn) in May (*Fig. 12*). An increase in inward direct debt investment contributed to the decrease in net FDI outflows from May. Despite the yen's continuous weakness, net FDI outflows have remained relatively high so far. Therefore, there has been structural capital outflow from Japan for many years that contributed to JPY depreciation. However, the recent global risk-off and massive strengthening of the JPY might have influenced corporate behaviour, so we will closely monitor how FDI flows have developed from late July.

Fig. 11: Current account balance (SA)



Source: Nomura, MOF, BOJ

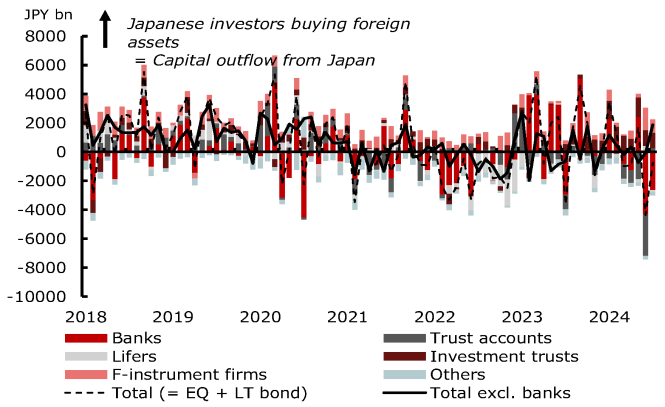
Fig. 12: Japan's direct investment balance



Note: Monthly data.
Source: Nomura, MOF, BOJ

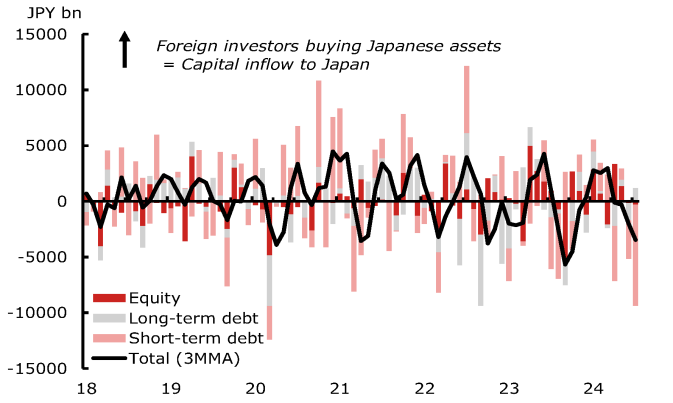
International Transactions in Securities (July)

Fig. 13: Japan's net purchases of foreign securities by investor type



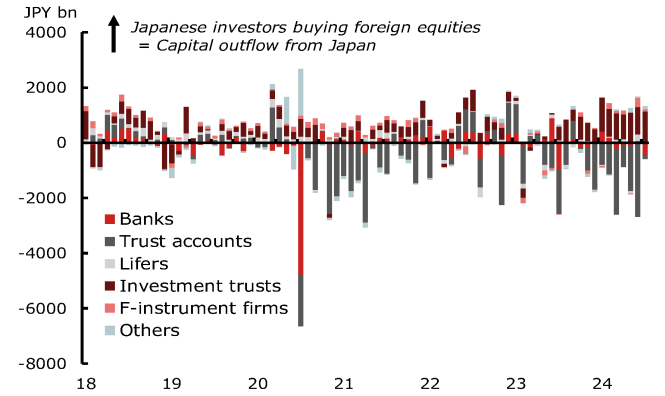
Source: Nomura, MOF

Fig. 14: Foreign investors' net purchases of Japanese assets



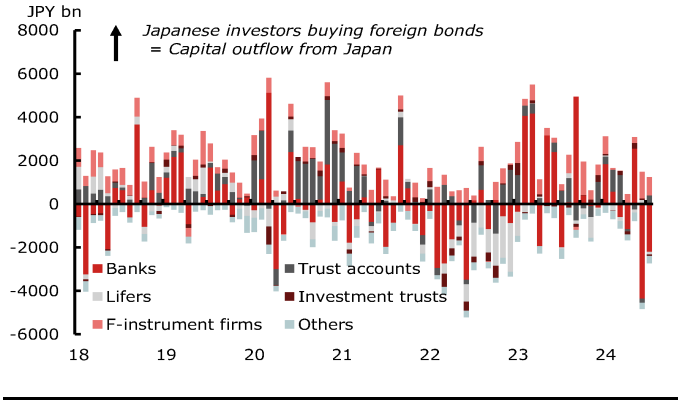
Source: Nomura, MOF

Fig. 15: Japan's net purchases of foreign equities



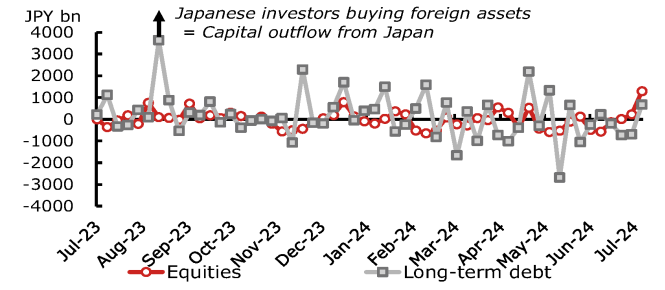
Source: Nomura, MOF

Fig. 16: Japan's net purchases of foreign bonds



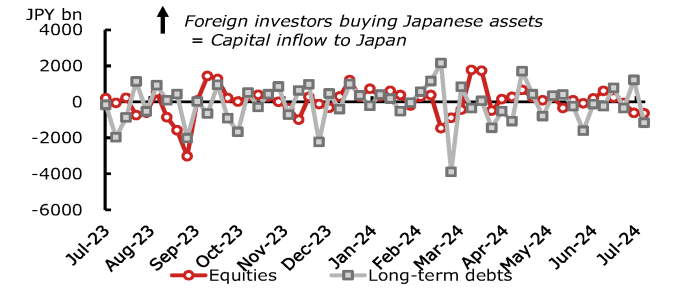
Source: Nomura, MOF

Fig. 17: Japanese investors' net purchases of foreign securities (weekly)



Source: Nomura, MOF

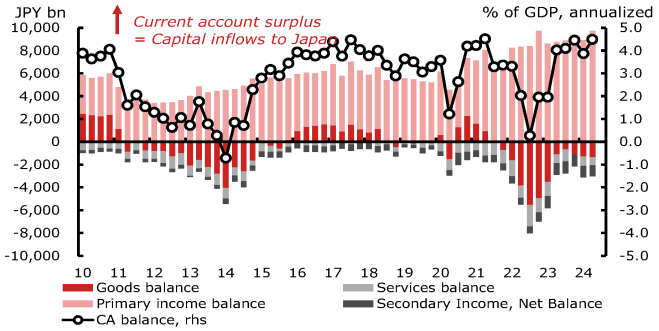
Fig. 18: Foreign investors' net purchases of Japanese securities (weekly)



Source: Nomura, MOF

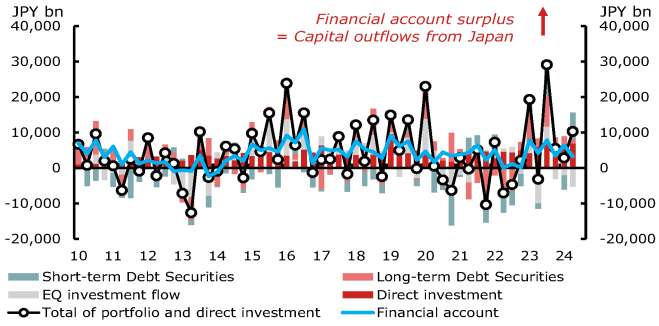
Balance of Payments (June)

Fig. 19: Japan's current account balance



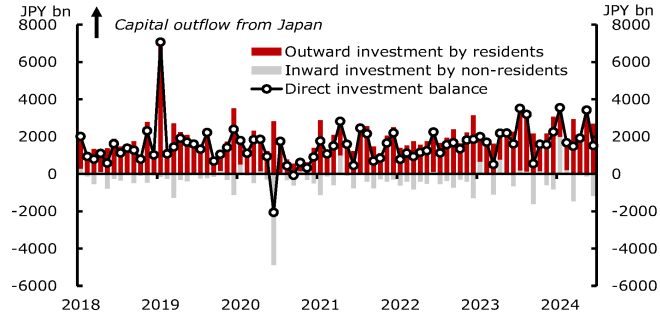
Note: 1. Seasonal adjusted series. 2. Monthly data converted to quarterly data.
Source: Nomura, MOF, BOJ

Fig. 20: Financial account balance



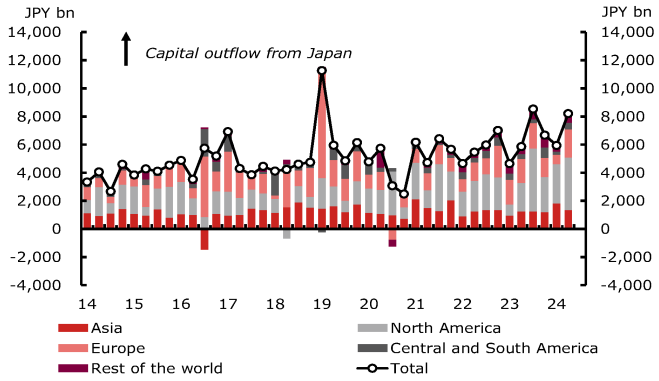
Note: Quarterly data.
Source: Nomura, BOJ, MOF

Fig. 21: Japan's direct investment balance



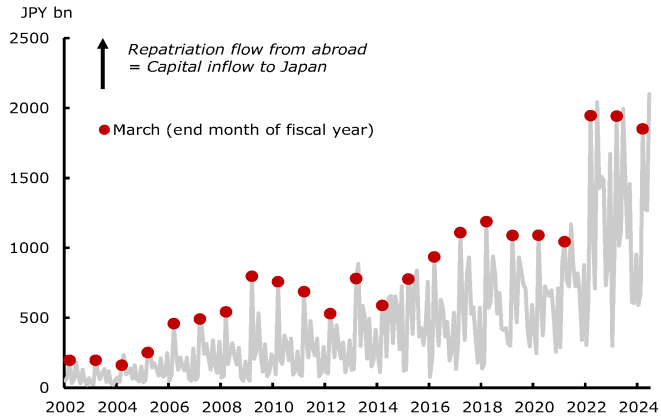
Note: Monthly data.
Source: Nomura, MOF, BOJ

Fig. 22: Japan's FDI by regions



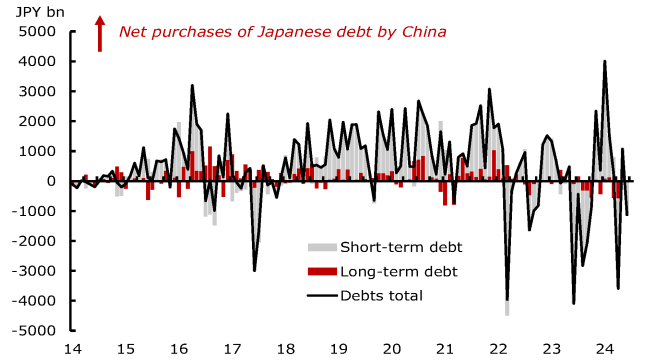
Note: Quarterly data.
Source: Nomura, MOF, BOJ

Fig. 23: Repatriation flow from overseas



Source: Nomura, MOF, BOJ

Fig. 24: China's net purchases of Japanese debt securities



Source: Nomura, MOF, BOJ

Balance of Payments (June)

Fig. 25: Foreign investors' investment in Japanese securities by country/region

	JPY bn	Total	Asia	China	HK	US	Central &South America	AU & NZ	Europe	Germany	U.K.	France	Middle East
2020	Feb	1,373	212	273	-291	-765	796	-211	3,189	-116	7,237	2,014	-207
	Mar	-13,442	-1,732	506	-679	-2,808	-789	-856	-4,414	-94	1,492	1,656	-268
	Apr	-431	1,848	2,428	-165	-1,423	39	-1,151	1,806	-24	5,791	2,529	-124
	May	4,466	-352	487	-205	1,150	174	-228	5,147	-124	8,418	2,893	-80
	Jun	-904	136	486	27	-894	-326	-621	2,567	52	8,173	729	-195
	Jul	8,653	2,597	2,683	179	2,503	337	-205	5,262	138	8,450	3,248	-59
	Aug	-3,423	1,821	2,253	308	-2,131	-24	-347	-464	85	7,347	26	-143
	Sep	-1,668	1,048	1,855	-511	868	42	-501	-1,254	42	8,382	-741	-262
	Oct	11,001	946	857	779	-406	635	-261	11,013	88	13,890	2,746	-96
	Nov	-3,259	-1,341	226	115	-2,665	430	-346	2,860	293	9,361	1,557	-69
	Dec	5,406	1,665	1,655	478	583	-241	-425	4,773	270	9,228	-19	-72
2021	Jan	8,570	409	225	133	-1,403	450	-210	11,967	176	12,094	6,266	-117
	Feb	-1,200	840	1,313	78	-2,166	-32	-277	2,606	437	7,726	1,206	-222
	Mar	-6,868	-3,308	-731	-371	-1,764	343	-435	743	324	7,965	3,113	-305
	Apr	-686	545	799	429	-3,062	453	-437	4,297	312	9,718	2,435	-752
	May	138	1,049	916	263	-1,260	298	-318	2,383	402	6,782	1,634	-561
	Jun	4,419	-490	492	90	-2,150	1,995	-446	7,049	947	10,219	3,236	-597
	Jul	6,873	2,420	1,864	213	-2,262	1,357	-297	8,481	414	11,790	3,269	-701
	Aug	-2,173	1,425	1,925	286	-3,323	448	-284	2,041	220	9,164	1,887	-574
	Sep	-1,712	2,409	2,519	130	-2,422	925	-413	-372	198	6,504	892	-517
	Oct	7,499	-974	439	-102	-1,381	444	-207	11,115	545	13,817	2,231	-678
	Nov	5,543	3,056	3,074	313	-266	1,186	-496	3,593	209	10,320	1,705	-159
	Dec	905	1,275	1,780	2	-495	1,384	-320	-587	110	6,395	108	-82
2022	Jan	-680	2,081	1,905	-416	-2,328	97	-428	4,979	291	8,085	3,520	-1,077
	Feb	-135	460	1,071	-737	-548	588	-393	1,661	69	8,591	1,804	-386
	Mar	-8,832	-5,814	-3,961	-178	-151	-258	-451	-536	-55	5,459	711	-206
	Apr	4,560	1,379	-342	20	-2,036	405	-300	7,539	-120	11,960	2,240	-322
	May	3,932	1,073	251	-246	552	268	-445	5,564	349	8,338	3,223	-509
	Jun	-3,470	596	618	64	-3,076	1,001	-279	-572	380	6,606	1	-148
	Jul	11,304	1,441	953	-294	-687	1,976	-277	10,638	224	13,152	3,071	-178
	Aug	-1,215	-1,466	-1,641	599	-1,344	674	-559	3,375	476	10,068	1,594	-315
	Sep	-7,231	-2,031	-994	52	-713	971	-319	-2,617	469	7,376	-1,955	-210
	Oct	-2,412	-476	-818	-87	-3,949	1,100	-466	5,127	651	14,493	-2,500	-255
	Nov	1,990	260	1,222	14	-773	875	-500	4,636	592	11,306	-610	-190
	Dec	-1,384	-181	1,518	-100	-706	1,438	-280	827	341	7,453	-1,520	-204
2023	Jan	-6,360	-233	1,326	11	-2,119	-785	-675	1,757	743	5,687	2,423	-479
	Feb	3,391	1,395	697	829	-305	537	-629	5,634	362	11,962	584	-236
	Mar	-1,416	-2,439	-67	-944	-2,491	950	-476	5,050	414	11,387	1,626	-638
	Apr	5,005	-322	61	-239	-660	891	-337	8,577	791	12,326	4,103	-186
	May	2,987	288	483	483	-2,180	1,000	-493	8,317	399	12,959	2,808	-280
	Jun	4,731	-5,000	-4,090	-29	-411	1,533	-490	11,031	973	16,483	2,748	-378
	Jul	-5,913	-379	-434	-106	-2,909	685	-460	-1,142	272	9,071	459	-379
	Aug	-7,267	-3,356	-2,827	-214	-3,142	764	-363	23	545	9,659	4	-286
	Sep	-5,979	-3,281	-2,062	-1,147	-3,244	343	-519	2,313	717	9,324	705	-505
	Oct	-2,166	-1,770	-855	-427	-3,405	377	-360	5,844	952	14,039	-682	-387
	Nov	4,146	1,569	2,342	57	-1,384	1,189	-612	5,223	1,174	13,118	-1,449	-232
	Dec	-1,346	-747	356	-188	-1,610	797	-845	2,182	877	9,903	-956	-435
2024	Jan	5,681	4,695	4,011	402	-1,869	-182	-242	5,613	834	9,921	1,727	-273
	Feb	3,570	1,442	1,527	150	-1,393	0	-193	5,375	1,256	8,807	1,563	-262
	Mar	-874	-866	246	-996	-2,684	1,033	-664	3,310	1,347	9,742	-1,106	-284
	Apr	-3,189	-4,159	-3,590	-184	-974	-246	-104	3,775	1,448	11,001	-109	-201
	May	2,041	724	1,075	-514	1,042	1,011	422	617	726	8,132	2,287	-268
	June	-5,420	-533	-1,130	-187	427	-734	-967	-554	1,103	8,075	-1,779	-514

Source: Nomura, MOF, BOJ

Fig. 26: Japanese investment in foreign securities by currency

	JPY bn	Total	USD	CAD	AUD	EUR	GBP	DKK	SEK	CHF	HKD	JPY	Others
2020	Feb	4,375	2,218	17	-18	1,596	23	72	-10	-5	-7	530	-42
	Mar	5,160	7,320	33	10	-2,725	17	-56	-42	22	-37	668	-49
	Apr	-1,780	-3,345	260	363	236	-92	68	-11	-16	23	663	69
	May	813	375	193	730	-723	99	-27	17	8	106	-251	287
	Jun	3,868	3,412	-17	399	215	26	-35	-23	9	64	-352	170
	Jul	-3,944	-2,697	-3	351	-709	-253	10	-11	-52	-184	-311	-84
	Aug	2,735	-183	290	369	1,785	76	-5	-27	-7	-17	287	168
	Sep	-698	-577	78	9	29	109	27	-8	-61	-64	-146	-92
	Oct	2,168	1,039	353	322	-97	355	70	1	4	-57	180	-2
	Nov	2,693	2,523	134	158	623	182	16	-19	-101	-101	-568	-152
	Dec	126	-654	86	24	1,097	215	66	19	-50	-62	-718	103
2021	Jan	2,354	917	225	-420	585	754	17	8	-29	-109	204	200
	Feb	-3,078	-1,872	-31	-971	68	58	-18	-24	-52	-135	390	-491
	Mar	-244	-146	-20	-499	-56	-121	62	11	-61	79	460	49
	Apr	-918	-636	139	234	-273	-120	-67	-34	-72	-80	256	-263
	May	-536	36	6	-250	-657	112	-31	16	-1	21	249	-37
	Jun	139	761	-122	-429	-326	-235	77	-60	-30	11	343	150
	Jul	-1,574	-1,208	68	-208	-578	-87	27	-17	-21	-77	433	94
	Aug	-231	243	-2	-195	-82	35	-14	5	-10	-6	-308	102
	Sep	4,580	3,764	14	-96	1,233	-127	-37	-2	6	-3	-172	0
	Oct	891	-166	72	-79	-118	360	20	-40	-17	-15	880	-6
	Nov	-1,036	-828	104	-162	-360	112	-55	-18	-65	-15	316	-64
	Dec	-956	-513	71	164	-910	-113	-41	21	28	40	173	124
2022	Jan	986	-258	129	31	1,021	-287	21	-6	-16	-54	837	-185
	Feb	-2,996	-2,964	-47	40	62	47	-138	-5	1	51	-2	39
	Mar	-3,235	-2,902	-174	-92	829	-246	-35	6	9	-21	-57	-524
	Apr	-2,749	-2,383	-174	-122	55	-71	-75	13	-16	-20	415	-254
	May	-338	-19	-248	-383	61	12	-58	4	3	37	392	-88
	Jun	-3,610	-2,820	-217	-74	-629	-263	-71	-23	7	51	454	-11
	Jul	-1,350	165	-235	-461	-1,186	-36	-28	-5	-25	28	741	-126
	Aug	-2,825	-2,755	-132	-412	87	326	-24	-52	-29	-3	225	-68
	Sep	-1,996	-1,807	-1	-110	-788	-118	-69	27	1	14	992	-99
	Oct	-2,063	99	-17	-300	-1,588	-118	-163	-10	14	9	90	42
	Nov	-3,185	-1,481	-223	-350	-978	66	-114	-55	-27	-67	301	-146
	Dec	588	1,260	150	-314	-1,160	114	-7	-14	49	15	231	82
2023	Jan	3,107	2,116	-80	-506	1,006	325	0	21	120	34	50	-44
	Feb	1,848	3,576	-51	-41	-563	-139	-40	-36	-79	-63	-574	-143
	Mar	5,753	5,294	-73	98	-226	113	-24	-24	-22	20	464	-30
	Apr	-1,119	-1,478	-7	260	522	83	-24	2	-3	2	-314	-89
	May	2,345	2,702	-28	178	-245	-23	-26	-35	-52	21	-190	-142
	Jun	2,311	1,731	110	106	-165	183	-72	-18	-17	-18	396	-51
	Jul	-3,551	-1,912	-241	-77	-1,459	196	-39	-32	-45	-45	308	-238
	Aug	1,858	1,093	-41	141	491	53	-32	-30	-32	-25	323	-7
	Sep	4,361	4,608	-84	-222	-499	-122	-39	13	-28	0	691	-75
	Oct	1,888	1,485	-40	80	41	70	-4	1	33	9	166	-123
	Nov	-1,370	-953	-27	-407	-957	-14	-65	-50	-32	-16	959	94
	Dec	206	-158	-135	-93	-35	157	-20	-22	-35	-7	336	55
2024	Jan	2,865	2,181	-222	-180	262	-37	29	-24	-44	-25	554	-24
	Feb	2,290	1,605	32	-216	-90	-5	-27	-64	-26	-45	898	87
	Mar	-668	-341	-42	-406	-183	32	-26	-53	-48	-55	183	58
	Apr	-741	-1,115	-5	-336	352	-84	-25	-17	-20	-25	316	50
	May	2,497	2,436	-63	-260	-228	18	-29	-32	-48	-54	432	94
	June	-4,913	-3,964	-35	28	-2,016	-93	-25	-26	-61	-60	1,004	175

Source: Nomura, MOF, BOJ

Appendix A-1

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When Japanese government bonds (JGBs) for individual investors are purchased via public offerings, only the purchase price shall be paid, with no sales commission charged. As a rule, JGBs for individual investors may not be sold in the first 12 months after issuance. When JGBs for individual investors are sold before maturity, an amount calculated via the following formula will be subtracted from the par value of the bond plus accrued interest: (1) for 10-year variable rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used, (2) for 5-year and 3-year fixed rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used.
When inflation-indexed JGBs are purchased via public offerings, secondary distributions (uridashi deals), or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Inflation-indexed JGBs carry the risk of losses, as prices fluctuate in line with changes in market interest rates and fluctuations in the nationwide consumer price index. The notional principal of inflation-indexed JGBs changes in line with the rate of change in nationwide CPI inflation from the time of its issuance. The amount of the coupon payment is calculated by multiplying the coupon rate by the notional principal at the time of payment. The maturity value is the amount of the notional principal when the issue becomes due. For JI17 and subsequent issues, the maturity value shall not undercut the face amount.
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